Practice workbook · Demand, supply and movements along the curves

Definitions of demand and supply and how a change in the product's own price causes an extension or contraction along each curve.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-07

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

P 6 6 3 2 7 A 0 7 2 4

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

Figure 2 shows the supply of wheat in a region during 2019.

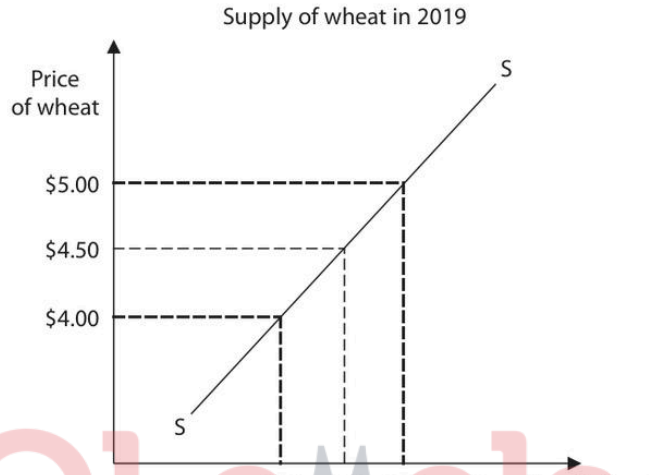


Figure 2

(g) Explain **one** effect on the supply curve of wheat following a change in the price of wheat.

(3)

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9

Turn over ▶

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

In England, there has been an increase in the number of science, maths and modern language graduates. Some of these graduates choose to enter the teaching profession with these qualifications. Many are encouraged to do so by a government bonus payment of £9 000, only available to graduates in these subjects. However, many do not stay in the profession for more than one or two years. This is due to problems of long working hours, bureaucracy and student behaviour. Those with science qualifications often find different types of employment quite easily.

(Source adapted from: https://www.theguardian.com/education/2019/oct/05/science-and-language-teachers-to-get-9000-staying-on-bonus)

(h) With reference to the data above and your knowledge of economics, assess whether an increase in the number of people with skills and qualifications will always lead to an increase in the supply of teachers.

(9)

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1. Question 2 · part g · 3 marks · Working and answer

Working and answer

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part c · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part c · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part c · 2 marks · Working and answer

Working and answer

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4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

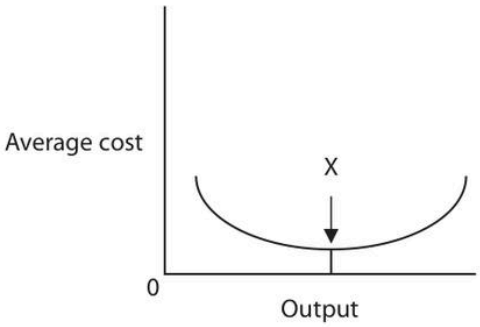


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40250
Raw materials	20050
Advertising	10125
Labour (paid in direct proportion to output)	210000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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4. Question 2 · part d · 2 marks · Working and answer

Working and answer

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 3 shows the demand for cocoa beans during 2019.

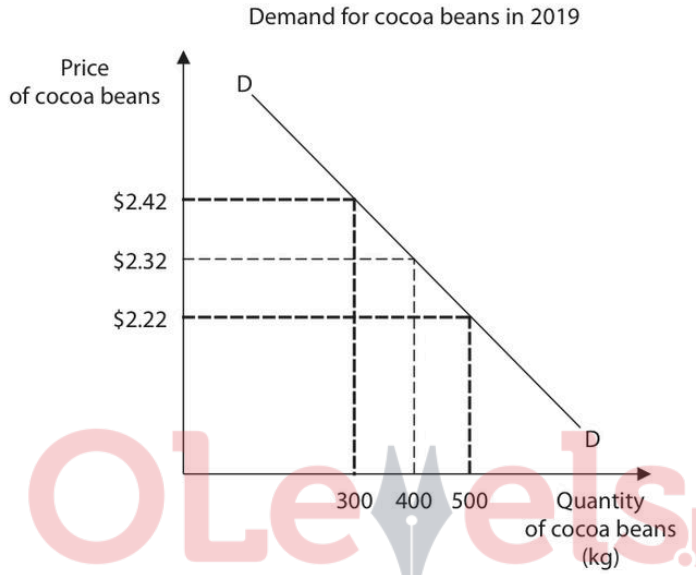


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

(3)

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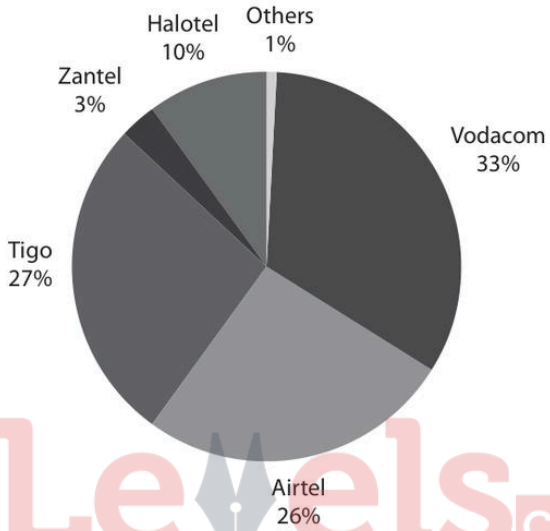
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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Market share of telecom subscriptions in Tanzania (June 2019)



(Source adapted from: https://www.tanzaniainvest.com/telecoms/tanzania-add-50000-mobile-subcriptions-in-6-months)

Figure 4

In November 2019, two Tanzanian telecoms firms, Zantel and Tigo, merged. Smart Telecoms, a small firm with a declining market share, stopped trading. A spokesperson said that Smart Telecoms could no longer compete with the increasing dominance of larger firms in the market.

(h) With reference to the data above and your knowledge of economics, assess whether the oligopoly in the Tanzanian telecoms market is likely to benefit consumers.

(9)

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5. Question 2 · part g · 3 marks · Working and answer

Working and answer

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6. Question 1 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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6. Question 1 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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P 7 1 5 5 6 A 0 3 2 4

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Turn over

6. Question 1 · part c · 2 marks · Working and answer

Working and answer

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7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$

☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$

☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

☒ **A** A fine

☒ **B** A permit

☒ **C** A subsidy

☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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P 7 4 0 5 7 A 0 8 2 4

7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 2 shows the supply of rice in a region during 2021.

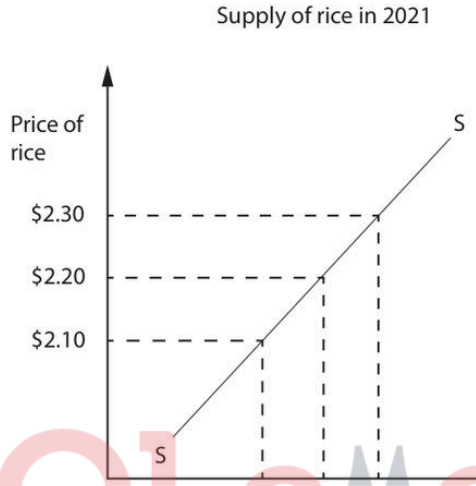


Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Some governments have made the creation of outdoor areas or parks a priority in order to help reduce health issues, such as obesity. Studies have shown that having access to such areas encourages physical exercise that can also benefit mental wellbeing.

However, funding for such projects is not always available or the parks become too crowded. This means fewer people can benefit from these outdoor areas.

(h) With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks.

(9)

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7. Question 2 · part g · 3 marks · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

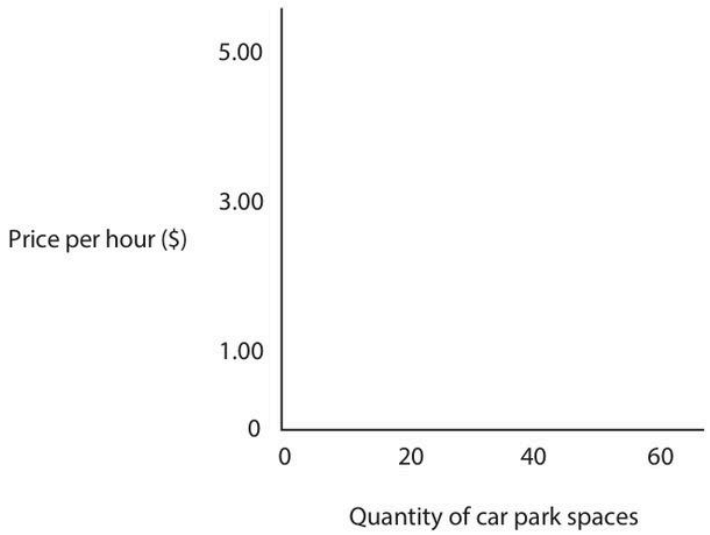
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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8. Question 3 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

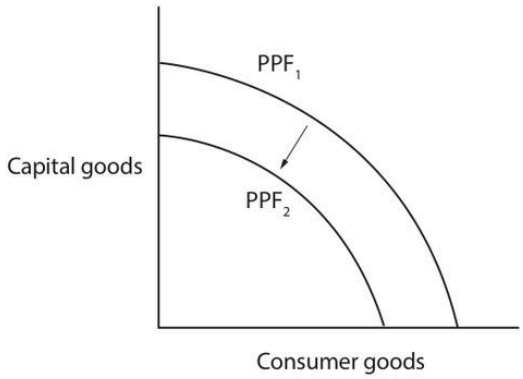


Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 2 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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9. Question 2 · part b · 1 mark · Working and answer

Working and answer

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